

CWRU
Essentials of Personal Financial Planning
Session 10

Property & Casualty
Insurance Basics

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What is Insurance?

- ◆ Risk Management Tool
- ◆ Only needed to protect against loss you cannot afford
- ◆ If you can afford the loss – Insurance is “luxury.”
- ◆ If you cannot afford the loss – Insurance is “needed.”

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The Best Insurance is...

- ◆ Sufficient to cover the losses you CANNOT afford to lose.
(under-insured versus over-insured.)
- ◆ High Quality
 - ◆ The insurer is financially strong and can honor its commitment to you.
- ◆ Competitively Priced
 - ◆ While cost matters, it's not the only thing that matters.

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Insurance: How it works

- ◆ Keeping Out High Risk Individuals
 - ◆ Problem known as *"Adverse Selection"*.
 - ◆ Require detailed applications.
 - ◆ Allow investigation into claims history.
 - ◆ Require affirmation that all information is correct.
- ◆ A New Use of Your FICO Score.
 - ◆ *"Consumer Reports Magazine"*, 2015.
 - ◆ Strong correlation between FICO Score and Claim History.
 - ◆ After claims history, FICO score is the most weighted factor in obtaining/pricing of individual insurance policies.

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Insurance: How it works

- ◆ Annual Premium
 - ◆ Based on your claim history, insurance pool claim history, changes in regulation
- ◆ When loss is incurred
 - ◆ Contact insurance company
 - ◆ File claim
- ◆ Deductible
 - ◆ The amount of money you must spend "out of pocket" before insurance picks up the cost of replacing the lost item(s).



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More Terminology

- ◆ Actual Value and Replacement Value
 - ◆ Actual Value = Current market value (i.e. depreciated value) of the item lost.
 - ◆ Replacement Value = Replace loss items with new items.
- ◆ Riders
 - ◆ Amendments to the basic insurance policy to either
 - ◆ Add items not covered in the basic policy, or
 - ◆ To increase the amount of coverage on specific items beyond the coverage offered in the basic policy.



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Insurance: How it works...

◆ Once You Have Insurance

- ◆ Your Annual Premium is Based On:
 - ◆ Your actual claim history.
 - ◆ The Insurance Pool claim history.
 - ◆ Changes in Regulation.

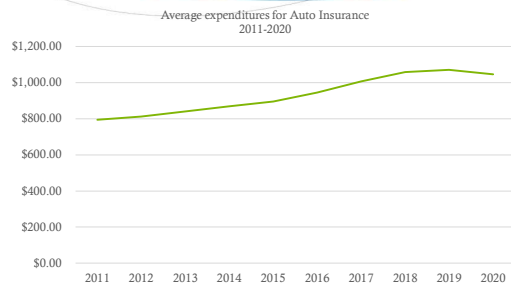
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AUTO INSURANCE



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Auto Insurance - Cost



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Auto Insurance

- ◆ Liability
- ◆ Medical Payments
- ◆ Comprehensive Coverage
- ◆ Collision Coverage
- ◆ Uninsured Motor Vehicle Coverage
- ◆ Car Rental & Travel Expenses



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Auto Insurance: Liability

- ◆ Covers damage you cause to people and other people's property with your auto through your negligence.
 - ◆ Bodily Injury
 - ◆ Property Damage
 - ◆ Medical Payments
- ◆ Each coverage has individual & max amounts – States set minimum level requirements. Example coverage levels available:
 - ◆ Bodily Injury (\$100,000 / \$300,000)
 - ◆ Property Damage (\$100,000)
 - ◆ Medical Payments (\$10,000)
- ◆ Damages in excess have to be paid out of other coverage or PERSONAL ASSETS
 - ◆ Consider a Personal Liability Policy ("Umbrella Policy")

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Ohio Minimum Requirements

- ◆ \$25,000 bodily injury liability per person
- ◆ \$50,000 bodily injury liability per accident
- ◆ \$25,000 property damage liability per accident
- ◆ Is this sufficient? How much loss/risk can you afford?



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Auto Insurance: Comprehensive & Collision

- ◆ Comprehensive Insurance
 - ◆ Pays to repair damages caused to your vehicle through non-driving events.
 - ◆ Deductibles: \$100 to \$1,000
 - ◆ Cost = Replacement value of car, crime rate in neighborhood, and deductible
- ◆ Collision Insurance
 - ◆ Pays to repair the damage caused to your vehicle through a driving event
 - ◆ Deductibles: \$100 to \$1,000
 - ◆ Cost = Replacement value of car, annual mileage driven, and deductible

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Auto Insurance: Other coverage

- ◆ Uninsured Motorist Coverage
 - ◆ Covers you and your property from damages caused by another driver who has no coverage or coverage that is insufficient to make your whole
 - ◆ Limits should match those of your Liability Coverage limits
- ◆ Car Rental & Travel Expenses
 - ◆ Covers cost of your getting home from an accident
 - ◆ Covers cost of renting a car while your car is getting repaired
 - ◆ Daily (\$25) and Maximum Limits (\$600).

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Auto Insurance: GAP Insurance

- ◆ Many people OWE more on their car than what their car is worth.
 - ◆ Cars lose value at a faster rate than the loans/leases are repaid.
 - ◆ Consequently, many car owners who have borrowed for or leased an automobile find that they owe more on the car than the car is worth
 - ◆ "Upside Down" or "Under Water"
- ◆ "Gap Insurance" Protects against being "under water"
 - ◆ In the event of a total loss, the insurance policy provides for reimbursement that is sufficient to retire your full liability to the Lender/Lessor
 - ◆ Will increase your premium

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Auto Insurance: Recommendations

- ◆ Have Liability Limits of AT LEAST \$100,000 / \$300,000.
- ◆ Make sure you have uninsured motorist coverage
 - ◆ Other people don't care about you!
 - ◆ At least \$100,000 / \$300,000
- ◆ Consider increasing your deductibles to pay for the above changes to your policy
 - ◆ Increase deductible from \$500 or less to \$750 or \$1,000
 - ◆ Submitting claims on less will cost you more in future higher premiums than what you collect on a small claim.

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Property & Casualty Insurance

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Renter's Insurance

- ◆ Why do you need Renter's Insurance?
 - ◆ Your landlord will only insure the dwelling (walls floor, ceiling, appliances, etc.) against loss due to fire or other types of damage.
 - ◆ Your landlord will not insure your personal property that is in the dwelling you rent.



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Renter's Insurance

- ◆ Types of Renters Insurance you need
 - ◆ HO4 – Personal Property, Personal Liability, and Medical Payments to others.
 - ◆ Personal Property Rider (Jewelry, Furs, Golf clubs, High-end electronics)
 - ◆ Coverage for Personal Property – Apartment (\$30k to \$50k) and Home (\$100k)
 - ◆ Coverage for Personal Liability – (\$100k)
- ◆ Estimated Cost (PP \$30k, PL \$100K, Deductible \$1k) – Between \$15 and \$30 per month.

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Homeowner's Insurance

- ◆ Dwelling and Dwelling Extension
- ◆ Personal Property
- ◆ Loss of Use
- ◆ Personal Liability
- ◆ Damage to Property of Others
- ◆ Medical Payments to Others



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Homeowner's Insurance

- ◆ When you buy it
 - ◆ Type of coverage
 - ◆ Replacement or Actual Cash Value
 - ◆ Limits
- ◆ Is your coverage adequate?
 - ◆ Your coverage and "excess savings" compensates for a potential loss
- ◆ Choosing your deductible
 - ◆ The higher your deductible, the lower your annual premium.

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Homeowner's Insurance Section 1 Dwelling and Dwelling Extension

- ◆ The Cost to Replace Your House and Garage.
 - ◆ HO-2
 - ◆ Narrow policy that protects against perils named in the policy.
 - ◆ HO-3
 - ◆ Broad policy that covers against all perils except those named in the policy.

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Homeowner's Insurance Section 1

- ◆ Personal Property
 - ◆ Contents of your home and garage (subject to exclusions/limits).
 - ◆ Furniture, appliances, clothing, etc.
- ◆ Loss of Use
 - ◆ Cost of shelter while you wait for your home to be repaired/replaced.
 - ◆ Does not include food, transportation, heat, water & sewer, etc.
- ◆ Deductible
 - ◆ Usually a percentage of the actual loss sustained that you pay .
 - ◆ Typical deductible ranges from 0.50% to 2.0%.

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Homeowner's Insurance Section 2

- ◆ Personal Liability
 - ◆ Covers the damages which the insured is legally liable for and provides for your legal defense at the insurer's expense.
- ◆ Damage to the Property of Others
 - ◆ Covers the damage you cause to the property of others.
- ◆ Medical Payments to Others
 - ◆ Covers medical bills of people injured on your property due to your negligence.

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Terminology

- ◆ **Replacement Value.**
 - ◆ Pays the full cost of replacing your dwelling or personal property with new items.
 - ◆ Subject to a maximum limit.
- ◆ **Actual Cash Value.**
 - ◆ Pays current cash value (original cost – depreciation) for dwelling and personal property.
 - ◆ Subject to a maximum limit.
- ◆ **Riders**
 - ◆ Insures against perils and/or personal property not covered by base policy.
 - ◆ Perils such as earthquake and flood, and personal property such as jewelry, furs, collectibles

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Recommendations

- ◆ **Know What You Have.**
 - ◆ Type of Coverage.
 - ◆ Replacement or Actual Cash Value.
 - ◆ Deductibles and Limits of Coverage.
- ◆ **Is It Adequate?**
 - ◆ Is your insurance and “excess savings” adequate to compensate for a potential loss?
- ◆ **Should You Change Your Deductible?**
 - ◆ Savings may or may not be material if you increase your deductible amount.
 - ◆ If material, increase deductible to offset cost of greater coverage.

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Personal Liability

Umbrella Policy

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Personal Liability Insurance “Umbrella Policy”

- ◆ What is it?
 - ◆ Covers you against claims made against you for damages caused by your negligence.
 - ◆ Provides additional insurance against claims that exceed the limits of liability coverage provided by base homeowner and auto policies
 - ◆ Coverage typically starts at \$1M (annual cost \$150 to \$350) and can be increased in \$500k increments
 - ◆ Requires you to maintain higher liability coverage in your home and auto policies.

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Personal Liability Insurance “Umbrella Policy”

- ◆ Why have it?
 - ◆ People make mistakes (sometimes big mistakes)
 - ◆ We live in a very litigious society (people are encouraged to sue)
 - ◆ It is relatively inexpensive (\$10 to \$30 a month to protect your wealth)
 - ◆ Sleep better at night

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Insurance Tip

One-stop shopping

- ◆ Purchasing all or most of your insurance from one Insurance Company can reduce your annual cost (“Bundle Discounts”) by 20% or more.



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To Do....

- ◆ Review your current policies (by self or with agent)
 - ◆ Is the insurance adequate?
 - ◆ Adjust coverage levels accordingly
- ◆ Make sure you are getting all discounts that you qualify for
- ◆ Consider changing deductible level
 - ◆ You will have a higher premium for lower deductible
 - ◆ May or may not be significant – get quotes to compare
 - ◆ If significant savings by increasing deductible – do it and put the premium savings into your “emergency fund” for in case of loss. Once you have adequate emergency fund savings, then you’ll free up the cash-flow for other expenses or savings purposes. If you never have a claim, those funds remain YOURS.

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Questions



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